

Table 19.1 Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a big W with the location of turns governed by Fibonacci ratios.
BA/XA retrace	The ratio of BA/XA is one of .382, .5, or .618.
BC/BA retrace	The ratio of BC/BA is one of .382, .5, .618, .707, .786, or .886.
DC/BC extension	The extension of leg DC to BC is one of the Fibonacci numbers: 2.618, 3.14, or 3.618.
DA/XA extension	The ratio of DA to XA is 1.618.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for most chart patterns.

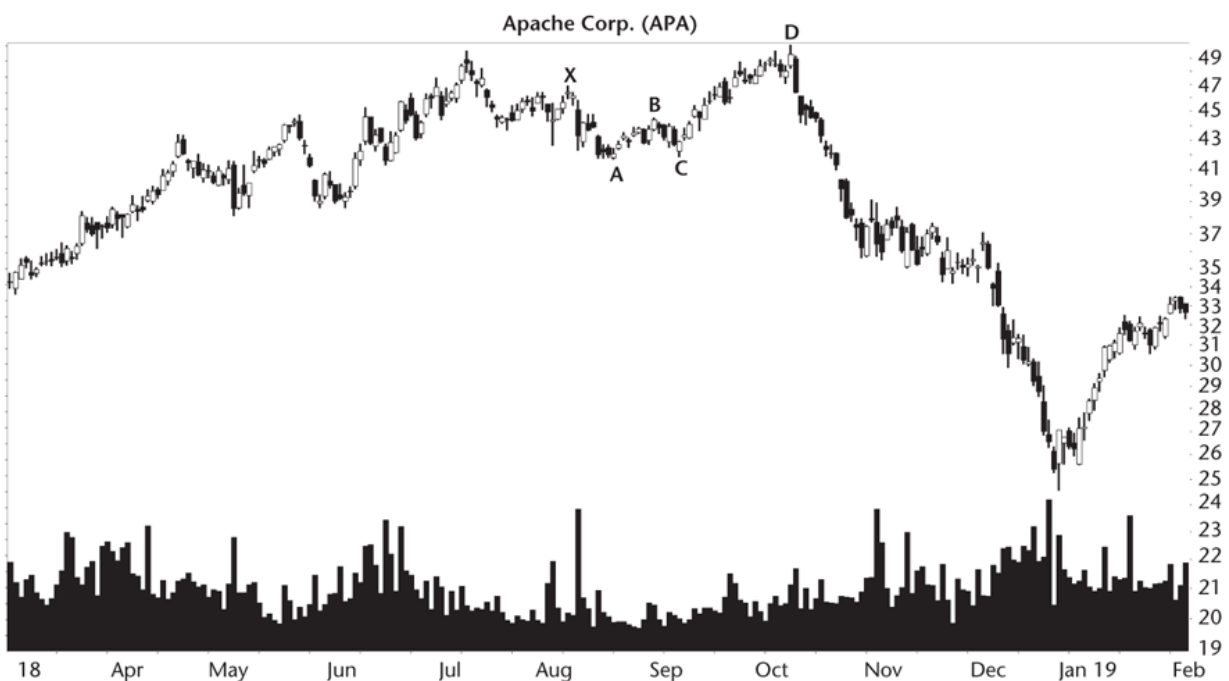


Figure 19.2 This well-behaved crab has a downward breakout.

BC/BA retrace. The retrace of BC to BA used the low at A, the high at B, and the last point used the high–low range of C. C has a high–low value of 42.92 to 41.82. Plugging the values into the ratio formula $(B - C)/(B - A)$,